

|                           |                                                  |
|---------------------------|--------------------------------------------------|
| Retail Research           | IPO Note                                         |
| Sector: Textile           | Price Band (Rs): 205 - 216                       |
| 16 <sup>th</sup> May 2025 | Recommendation: SUBSCRIBE FOR LONG TERM HORIZON* |

\*HIGH-RISK, HIGH-RETURN

## Borana Weaves Ltd.

### Company Overview:

**Borana Weaves Ltd** is a Gujarat-based textile manufacturing company specializing in the production of unbleached synthetic grey fabric and polyester textured yarn (PTY Yarn). The company operates 3 manufacturing units located in Surat, Gujarat; housing a total of 15 texturizing machines, 6 warping machines, 700 water jet looms and 10 folding machines.

### Key Highlights:

- Specialist in unbleached synthetic grey fabric manufacturing:** The company specializes in the production of unbleached synthetic grey fabric which serves as a fundamental material for further processing such as dyeing and printing.
- Adoption of Water jet looms to expand into technical textiles:** Water jet looms provide significant advantage over traditional power looms by offering greater precision in the weaving process of manufacturing synthetic grey fabric. This results in fabric production that exhibits uniform texture and consistent quality. As of Dec'24, the company operates a total of 700 water jet looms, which it plans to leverage in order to diversify into the manufacturing of technical textiles.
- Proposed capacity expansion:** The company plans to set up a new manufacturing facility in Surat, Gujarat; with a proposed annual capacity of 112.8 mn meter which will take the total annual installed capacity of the company to 346.0 mn meter. However, the said expansion is subject to the receipt of required approvals.

**Addressable market size of domestic textile and apparel industry:** USD 190 bn by FY26E. (FY20-FY26E CAGR: 10.0%)

**Key Risks:** Highly dependent on revenue from sale of synthetic grey fabric (up from ~72% of total revenue in FY24 to ~84% as of 9MFY25), Concentration of operations in Gujarat (~98% of total revenue derived from customers in Gujarat as of 9MFY25)

**Valuation:** The company is valued at FY25 annualized P/E and EV/EBITDA multiple of 14.4x/10.3x respectively of its post-issue capital at upper price band. The company's Revenue/EBITDA/PAT achieved CAGR of 116.8%/182.1%/262.1% to Rs 199 cr/Rs 41 cr/Rs 24 cr respectively during FY22-FY24 period. Given the favorable industry outlook and the company's diversification and expansion plans, we recommend the investors to subscribe the issue for a long-term horizon, however looking at the relatively smaller scale of business and smaller historical track record, investors should note that it will fit in a high-risk, high-return investment profile.

| Particulars (Rs cr) | FY22  | FY23  | FY24  | 9MFY25 | FY22-FY24 CAGR (%) |
|---------------------|-------|-------|-------|--------|--------------------|
| Revenue             | 42.3  | 135.4 | 199.1 | 211.6  | 116.8              |
| YoY (%)             | -     | 219.8 | 47.0  | -      | -                  |
| EBITDA              | 5.2   | 26.1  | 41.2  | 46.0   | 182.1              |
| YoY (%)             | -     | 403.7 | 58.0  | -      | -                  |
| PAT                 | 1.8   | 16.3  | 23.6  | 30.0   | 262.1              |
| YoY (%)             | -     | 806.3 | 44.7  | -      | -                  |
| EBITDA (%)          | 12.2  | 19.2  | 20.7  | 21.8   | -                  |
| PAT (%)             | 4.2   | 12.0  | 11.8  | 14.2   | -                  |
| ROE (%)             | 99.4  | 67.6  | 49.5  | -      | -                  |
| ROCE (%)            | 12.2  | 34.9  | 27.4  | -      | -                  |
| D/E (x)             | 15.1  | 1.6   | 1.4   | -      | -                  |
| P/E (x)             | 320.0 | 35.3  | 24.4  | -      | -                  |
| EV/EBITDA (x)       | 116.5 | 23.6  | 15.7  | -      | -                  |

Note: P/E (x) and EV/EBITDA (x) based on post-issue share capital @ upper price band.

| Issue Details                 |                                   |
|-------------------------------|-----------------------------------|
| Date of Opening               | 20 <sup>th</sup> May 2025         |
| Date of Closing               | 22 <sup>nd</sup> May 2025         |
| Price Band (Rs)               | 205 - 216                         |
| Offer for sale (shares)       | -                                 |
| Fresh Issue (shares)          | 67,08,000                         |
| Issue Size (Rs cr)            | 138 - 145                         |
| No. of shares                 | 67,08,000                         |
| Face Value (Rs)               | 10                                |
| Post Issue Market Cap (Rs cr) | 546 - 576                         |
| BRLMs                         | Beeline Capital Advisors Pvt Ltd  |
| Registrar                     | KFin Technologies Ltd             |
| Bid Lot                       | 69 shares and in multiple thereof |
| QIB shares                    | 75%                               |
| Retail shares                 | 10%                               |
| NIB shares                    | 15%                               |

| Objects of Issue                                                                                                                      |                                                 |
|---------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|
|                                                                                                                                       | Estimated utilization from net proceeds (Rs cr) |
| To finance the cost of establishing a new manufacturing unit in order to expand grey fabric production capabilities at Surat, Gujarat | 71.3                                            |
| Funding incremental working capital requirements                                                                                      | 26.5                                            |
| General Corporate Purposes <sup>^</sup>                                                                                               | -                                               |
| <b>Total proceeds from fresh issue</b>                                                                                                | <b>137.5 - 144.9</b>                            |

<sup>^</sup> To be finalized upon determination of the Issue Price and updated in the Prospectus prior to filing with RoC. The amount to be utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

| Shareholding Pattern      |                    |              |
|---------------------------|--------------------|--------------|
| Pre-Issue                 | No. of Shares      | %            |
| Promoter & Promoter Group | 1,73,82,795        | 87.2         |
| Public & Others           | 25,54,500          | 12.8         |
| <b>Total</b>              | <b>1,99,37,295</b> | <b>100.0</b> |

| Post Issue @Lower Price Band | No. of Shares      | %            |
|------------------------------|--------------------|--------------|
| Promoter & Promoter Group    | 1,73,82,795        | 65.2         |
| Public & Others              | 92,62,500          | 34.8         |
| <b>Total</b>                 | <b>2,66,45,295</b> | <b>100.0</b> |

| Post Issue @Upper Price Band | No. of Shares      | %            |
|------------------------------|--------------------|--------------|
| Promoter & Promoter Group    | 1,73,82,795        | 65.2         |
| Public & Others              | 92,62,500          | 34.8         |
| <b>Total</b>                 | <b>2,66,45,295</b> | <b>100.0</b> |

Source: RHP, SSL Research

**SBICAP Securities Limited**

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IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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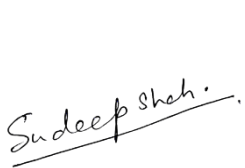
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